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Bank of Ningbo Co. Ltd | Asia Pacific

1Q26: Revenue, PPOP and profit growth back to double-digit growth; maintain Top Pick

Reaction to earnings

Strengthens our thesis	In-line	Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 2025 full-year results in line with the pre-announcement, with revenue and profit up 8% and 8.1% yoy, respectively.
- 1Q26 revenue and profit rebounded to double-digit yoy growth, up 10.2% and 10.3% yoy, respectively, supported by strong NII and fee income growth.
- NII increased a solid 14.4% yoy in 1Q26, with a 5bps qoq rebound in NIM. Loan balance rose 15.7% yoy, aided by continued market share gains.
- 1Q26 fee income rebounded 81.7% yoy, led by wealth management and asset management business. Investment income remained under some pressure but recovered qoq.
- Asset quality was stable, with the NPL ratio flat at 0.76% and NPL coverage ratio high at 369.4%. The loan loss reserve ratio was largely flat yoy at 2.8%.

Continued market share gains: Total loan rose 9.4% qoq in 1Q26, vs. 3.2% industry-wide. Corporate loan growth remained strong at 16.6% qoq, while bills were reduced by 12.1%; that likely drove higher loan yield, in our view. Deposit increased 10.6% qoq in 1Q26, vs. 4.2% industry-wide.

The retail client base saw solid expansion. Retail AUM grew 13.1% yoy in 2025. PB AUM and the number of PB clients increased 16.4% and 17.9% yoy, respectively.

Overall asset quality was stable: The NPL ratio was flat qoq at 0.67% and the special mentioned loan ratio declined 8bps to 1.06% in 1Q26. The overdue 90 days+ loan ratio fell 2bps HoH to 0.58% in 2H25, with the OD loan coverage ratio higher at 484%. The NPL / OD 90 days ratio increased to 130%.

We view current valuation at 0.87x 2026E P/B as attractive, reflecting double-digit loan and profit growth. We remain OW and reiterate Bank of Ningbo as our Top Pick.

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Bank of Ningbo Co. Ltd (002142.SZ, 002142 CH)
Top Pick

China Financials China				
Stock Rating	Overweight			
Industry View	Attractive			
Price target	Rmb45.00			
Up/downside to price target (%)	39			
Shr price, close (Apr 24, 2026)	Rmb32.30			
52-Week Range	Rmb32.92-23.77			
Sh out, dil, curr (mn)	6,604			
Mkt cap, curr (mn)	Rmb213,309.2			
EV, curr (mn)	Rmb239,228.2			
Avg daily trading value (mn)	Rmb872			
Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (Rmb)**	3.95	4.29	4.80	5.55
EPS (Rmb)§	4.08	4.37	4.79	5.32
EBITDA (Rmb mn)	33,460	33,448	38,368	44,850
ModelWare net inc (Rmb mn)	26,105	28,277	31,719	36,653
P/E	6.1	6.6	6.7	5.8
P/BV	0.8	0.8	0.9	0.8
RNOA (%)	11.6	10.0	10.1	10.8
ROE (%)	14.8	13.6	14.3	14.8
EV/EBITDA	5.6	6.6	6.5	5.6
Div yld (%)	3.7	3.5	3.5	4.1
FCF yld ratio (%)**	-	-	-	-
Leverage (EOP) (%)	11.9	15.7	14.1	12.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Related reports:
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Bank of Ningbo 1Q26 results

Exhibit 1: Bank of Ningbo 1Q26 results

QUARTERLY							
(Rmb mn)	1Q25	2Q25	3Q25	4Q25	1Q26	QoQ	YoY
P&L							
Net Interest Income	12,835	12,891	13,770	13,665	14,688	7.5%	14.4%
Interest Income	26,083	26,263	26,716	26,143	26,988	3.2%	3.5%
Interest Expense	(13,248)	(13,372)	(12,946)	(12,478)	(12,300)	-1.4%	-7.2%
Non-Interest Income	5,660	5,774	4,046	3,328	5,696	71.2%	0.6%
Net Commission & Fees	1,417	1,388	2,043	1,237	2,575	108.2%	81.7%
Others	4,243	4,386	2,003	2,091	3,121	49.3%	-26.4%
Operating Income	18,495	18,665	17,816	16,993	20,384	20.0%	10.2%
Operating Expenses	(5,558)	(6,133)	(5,776)	(6,882)	(5,465)	-20.6%	-1.7%
Pre-Provision Profit	12,937	12,532	12,040	10,111	14,919	47.6%	15.3%
Provision	(4,941)	(4,411)	(3,442)	(2,485)	(6,006)	141.7%	21.6%
Others	(15)	(50)	(64)	(51)	(14)	-72.5%	-6.7%
PBT	7,981	8,071	8,534	7,575	8,899	17.5%	11.5%
Income Tax	(525)	(689)	(794)	(624)	(629)	0.8%	19.8%
Net Profits	7,456	7,382	7,740	6,951	8,270	19.0%	10.9%
Minority Interest	(39)	(27)	(67)	(63)	(89)	41.3%	128.2%
NPAT	7,417	7,355	7,673	6,888	8,181	18.8%	10.3%
B/S							
Loans, gross	1,640,169	1,673,213	1,716,823	1,733,314	1,897,045	9.4%	15.7%
Deposits	2,217,011	2,111,558	2,081,237	2,058,755	2,276,163	10.6%	2.7%
Assets	3,396,035	3,470,332	3,578,396	3,628,671	3,859,225	6.4%	13.6%
Interbank assets	113,926	121,619	115,592	116,232	92,066	-20.8%	-19.2%
Equity	210,168	219,979	217,879	222,499	232,493	4.5%	10.6%
Selected Ratios							
NIM	1.80	1.72	1.76	1.68	1.73	5bps	-7bps
Net Fees % of Op Inc	7.66	7.44	11.47	7.28	12.63	-0.2ppt	5.0ppt
Cost-Income Ratio	30.05	32.86	32.42	40.50	26.81	-13.7ppt	-3.2ppt
Credit Cost (bps)	126.85	106.50	81.23	57.62	132.35	75bps	6bps
Loan/Deposit Ratio	74%	79%	82%	84%	83%	-0.8ppt	9.4ppt
NPL Ratio	0.76	0.76	0.76	0.76	0.76	0bps	0bps
NPL coverage	370.6%	374.2%	375.9%	373.2%	369.4%	-3.8ppt	-1.2ppt
Loan loss reserve ratio	2.81%	2.84%	2.85%	2.83%	2.80%	-3bps	-1bps
Core Tier 1 ratio	9.32%	9.65%	9.21%	9.34%	9.25%	-9bps	-7bps
CAR	14.94%	15.21%	14.62%	14.30%	14.02%	-29bps	-92bps
ROAA	0.87%	0.85%	0.86%	0.76%	0.85%	9bps	-3bps
ROAE	14.12%	13.37%	14.09%	12.38%	14.08%	169bps	-4bps

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Bank of Ningbo Co. Ltd (002142.SZ)

We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear. The discount rate is 11.4% in the base case, and we assume 13.5% for second-stage and 13% for long-term ROE with a 61% dividend payout ratio in the long run. Our price target implies 2026E P/B of 1.2x.

Risks to Upside

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Better-than-expected NIM and asset quality.
- Higher-than-expected non-interest income from stronger wealth management business revenue.

Risks to Downside

- Risks from potential change in leadership.
- Higher default risks from SME and retail business expansion.
- Pricing pressure from destructive competition in the market.

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(as of March 31, 2026)

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Equal-weight/Hold	1573	43%	372	40%	24%	716	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Bank of Ningbo Co. Ltd (002142.SZ) - As of 04/26/26 GMT in CNY
Industry : China Financials



Stock Rating History: 4/1/21 : NA/A; 8/17/22 : 0/A

Price Target History: 8/17/22 : 40; 9/19/22 : 40.2; 5/12/23 : 44.4; 9/28/23 : 35.8; 12/13/23 : 30.5; 6/5/24 : 34.3; 2/26/25 : 39.2; 4/16/25 : 35.6; 8/5/25 : 41.1; 3/18/26 : 45

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
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INDUSTRY COVERAGE: China Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/24/2026)
Chiyao Huang		
China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK\$20.54
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb15.37
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$13.44
CITIC Securities Co. (6030.HK)	E (10/29/2024)	HK\$26.62
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb26.23
East Money Information Co Ltd (300059.SZ)	E (09/19/2025)	Rmb19.70
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$159.89
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$8.43
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb12.42
GF Securities (000776.SZ)	E (08/07/2025)	Rmb19.86
GF Securities (1776.HK)	E (01/06/2023)	HK\$16.82
HTSC (601688.SS)	E (09/23/2024)	Rmb18.78
HTSC (6886.HK)	E (09/23/2024)	HK\$15.90
Richard Xu, CFA		
Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb7.04
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$6.19
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$7.12
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.46
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb18.37
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb5.81
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$5.15
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$7.40
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb6.98
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb17.11
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb32.30
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb8.35
China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$8.34

China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$8.95
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb9.74
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$3.14
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.18
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb39.38
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$50.40
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.75
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.69
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$7.19
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb7.15
Industrial and Commercial Bank of China (1398.HK)	O (08/09/2013)	HK\$7.26
Industrial and Commercial Bank of China (601398.SS)	E (09/19/2022)	Rmb7.58
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb18.18
Lufax (LU.N)		US\$1.92
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb11.00
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$5.30
Qifu Technology Inc (QFIN.O)	O (08/25/2020)	US\$13.01
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.45

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* Historical prices are not split adjusted.